



Market Debunk

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The Myth Behind SEBI's **Won't See**



Decoding The *Latest Regulatory* Shift And Its True Target

Retail traders assume that relaxed FPI compliance signals a fresh wave of foreign liquidity entering equities. In reality, SEBI has strictly limited these exemptions to entities investing exclusively in **Gsecs Only Mandate**, leaving strict equity disclosure norms completely unchanged.



Why Sovereign *Debt Inclusions* Drive Operational Overhauls

Global bond index providers demand streamlined onboarding for passive institutional capital entering sovereign debt. SEBI's compliance easing is designed purely to absorb massive global inflows into government paper, deliberately excluding high-risk secondary equity portfolios from any relief.



The Danger *Of Misinterpreting* Macro Liquidity Headlines

Equating foreign participation in government bond auctions with institutional buying in equities creates a fatal directional bias. Smart money exploits retail FOMO generated by generalized financial headlines, using uninformed momentum to execute exit strategies at inflated index levels.



Quantifying The **Cost Of** Unverified Capital Assumptions

Trading purely on headline sentiment without checking underlying asset class restrictions leads to chronic portfolio underperformance. A **0% equity allocation** shift from this policy means retail portfolios absorbing directional risk while institutional capital sits safely in sovereign yields.



The Golden *Rule For* Institutional Capital Verification

Never initiate directional equity or index trades on generic 'FPI deregulation' news without verifying whether the regulatory shift applies to debt or equity capital pools. Always isolate operational tax and compliance changes by specific asset class before risking principal.



Executing The ***Mandatory Three-Point*** Capital Audit

Before allocating capital based on regulatory announcements, run this 3-step check: confirm the exact asset class eligibility, verify custodial flow restrictions, and cross-reference primary exchange data against broader institutional delivery volume metrics.



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